



Asia AI watch

Reinforcing the case for monetary tightening

Economics Asia

- ◆ Asia's growth is being lifted by AI hardware exports and data centre investment, while labour disruption is limited so far
- ◆ AI is increasingly influencing Asia's inflation dynamics, with upstream cost pressure feeding into broader prices over time
- ◆ This backdrop may push some Asian central banks, such as those in Korea and Taiwan, towards tighter monetary policy

Growth upside

Artificial intelligence (AI) offers meaningful growth upside for many Asian economies. The most immediate channels are surging AI hardware exports – equivalent to almost half of GDP in Taiwan and Vietnam – and accelerating data centre investment, which is particularly prominent in Malaysia. Beyond these near-term catalysts, AI could also lift long-term growth potential through productivity gains.

Labour disruption

AI's second-round effects have so far been modest: there have been no mass layoffs and no step-change in productivity. Drawing on an earnings call analysis, we find that mainland Chinese companies may face the most near-term labour disruption – potentially serving as a “canary in the coal mine” for other Asian economies. Across the region, AI adoption will displace some roles, but the impact can be mitigated by reskilling and redeployment. It's also important to remember that AI can augment labour as well as substitute it, raising output per worker in many occupations.

Inflation crosscurrents

Inflation dynamics in Asia are increasingly shaped by the AI build-out rather than the traditional oil-and-food cycle. As hyperscalers ramp up capex, demand is concentrating in a narrow set of inputs, pushing up upstream costs first and only later filtering into broader inflation via higher compute and services prices. The impact will vary, depending on where an economy sits in the AI tech stack – upstream hardware producers, midstream assemblers, or downstream adopters. Inflation risks look asymmetric: upstream suppliers, such as Korea and Taiwan, are likely to feel pressures earlier than downstream pure adopters, such as India and Indonesia.

Central bank implications

The AI supercycle strengthens the case for tighter monetary policy in economies with meaningful AI-driven growth upside that sit upstream in the tech supply chain, and are, therefore, likely to see cost pressures first. Korea and Taiwan are two prime examples, where AI may tilt the balance towards further monetary tightening.

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What AI means for Asian central banks

Asia's central bankers are confronting an unusually broad and fast-moving set of challenges.

Asian central banks have a lot on their plates with oil, El Niño, new Fed Chair...

...and now, AI

The Middle East geopolitical situation remains fluid, creating uncertainties in energy and industrial supply chains for Asian economies. At the same time, the prospect of higher food and commodity prices linked to this year's El Niño, alongside US monetary policy uncertainty under new Federal Reserve Chair Kevin Warsh, is keeping Asian central banks on their toes (see [The Fed, El Niño, and AI](#), 3 July 2026).

The AI boom – still running hot on the back of robust capex intentions from big tech – adds a further complication for policymakers.

What are the AI theme's implications for Asian central bank policy?

For context, not every central bank is moving in the same direction. During the second half of 2026, we forecast *rate hikes* in Japan, Korea, Taiwan, India, Singapore, Indonesia, Vietnam, the Philippines, and New Zealand, while mainland China, Hong Kong, Malaysia, Thailand, Bangladesh, and Australia are expected to *keep policy rates unchanged* (see [Asian Economics Quarterly: Still runnin'](#), 24 June 2026).

If AI boosts productivity without materially lifting inflation, it would strengthen the case for holding rates steady. Conversely, if the AI data centre build-out functions more like a negative supply-side shock, it could reinforce the tightening bias for central banks planning to hike.

We look at how AI may impact Asia's growth, labour market and inflation over the next two years

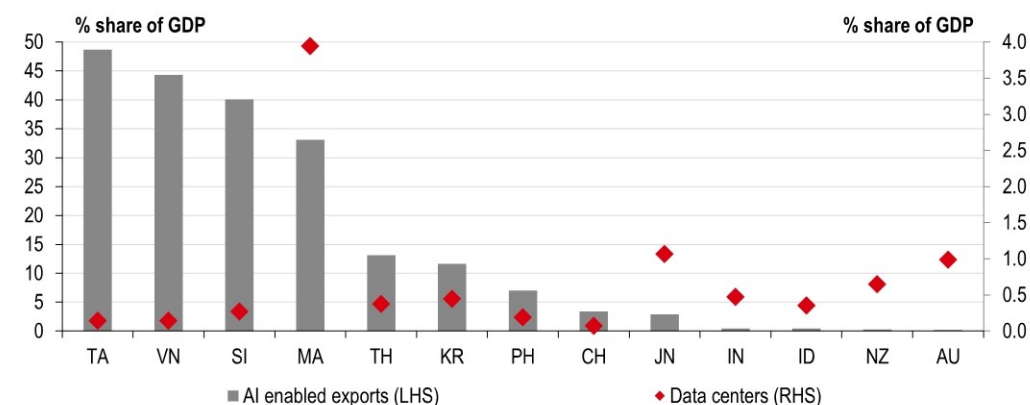
In this report, we examine what the AI boom could mean for Asian central banks during the current policy cycle by assessing how it may shape the **growth**, **labour** and **inflation** outlook across Asian economies over the next one to two years.

Growth upside

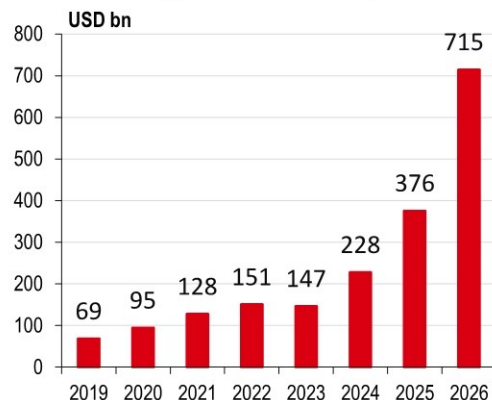
Near-term growth upside evident in AI hardware exports and data centre investment

AI promises to be a genuinely transformative technology, with far-reaching implications for real economic activity. In Asia, the first-round macro effects of the AI infrastructure build-out are already visible in surging exports and data centre investment. As **Chart 1** shows, AI's growth impact is most evident in **AI hardware exports** – equivalent to nearly half of GDP in Taiwan and Vietnam – and in **data centre investment**, which is most prominent in Malaysia.

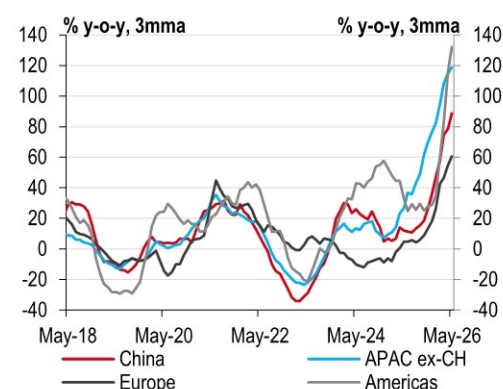
Chart 1: AI enabled exports (2025) and data centre capex*



Source: IMF, ITC Trade Map, Cushman & Wakefield, HSBC. Note: CH stands for mainland China. *Data centre capex refers to the projected total investment required (including land cost) as of 2025 for the development pipeline expected to become operational by 2030.

Chart 2: US hyperscalers* AI capex


Source: Bloomberg, HSBC. Note: *Amazon, Google, Meta, and Microsoft. 2026 figures represent company guidance as of 30 April 2026.

Chart 3: Global semiconductor sales


Source: Macrobond, HSBC

In 2022, when OpenAI released an early ChatGPT demo that sparked widespread public interest in consumer-facing AI (and, for Justin and Thomas, proved a genuinely life-changing moment as students), the four major US hyperscalers – Amazon, Google, Meta and Microsoft – spent around USD150bn on AI capex. As **Chart 2** shows, that figure is expected to surge to well above USD700bn this year,¹ which is roughly the size of Sweden's entire GDP.

This spending frenzy is funding the AI infrastructure build-out across the stack, from semiconductor chips (see **Chart 3**) to data centre equipment, such as servers, fibre-optic networks and liquid-cooling systems.

Many Asian economies are highly exposed to these growth opportunities, especially through AI hardware exports or via data centre investments.

Taiwan plays an indispensable role in the AI hardware ecosystem

Taiwan is arguably the linchpin of the global AI ecosystem. Since the AI boom began, US-based Nvidia's Hopper (and later the Blackwell) GPUs (graphics processing units) have become the workhorses for both training and inference. Yet, as a fabless chip designer, Nvidia depends on Taiwan's TSMC for fabrication.

TSMC, the world's leading foundry (c70% market share) and the only company mass-producing leading-edge two nanometre (nm) chips at commercially viable yields, also manufactures chips for AMD (Nvidia's closest competitor) and for mainland Chinese clients at legacy nodes (28nm and above, due to US technology restrictions) via its Nanjing and Shanghai fabs.² This breadth of customer coverage underscores TSMC's centrality in the global AI hardware value chain (see [Taiwan in focus](#), 12 June 2026).

Korea is the global memory chip leader

Korea stands out as the primary beneficiary of the memory chip "supercycle" driven by AI-related demand (see [Korea in focus](#), 20 May 2026).

DRAM is high-speed, volatile (unable to retain data without constant power) memory commonly found in computers. High-bandwidth memory (HBM), closely linked to AI demand, stacks DRAM vertically to deliver the extreme speeds required by large language models (LLMs). NAND, meanwhile, provides non-volatile storage (able to retain data even without power). Both DRAM and NAND are essential for AI data centres. Korea's two champions, Samsung and SK Hynix, account for roughly 70% of the global DRAM market and over half of NAND Flash.³

¹ "US Big Tech Ratchets Up AI Spending Past \$700 Billion This Year," *Bloomberg*, 30 April 2026

² "TSMC nets nearly 70% of 2025 foundry market," *Taipei Times*, 14 March 2026

³ "Price Rally Drives 4Q25 DRAM Revenue Up 29.4%," *Trend Force*, 26 February 2026; "AI Server Storage Demand Surges," *Trend Force*, 3 March 2026

Japan is a major supplier of chipmaking equipment, chemicals and materials

Japan plays a pivotal role in the semiconductor value chain as a major supplier of chipmaking equipment, chemicals and materials (see [Japan in focus](#), 10 February 2026). The government recently proposed a JPY370trn (USD2.3trn), 14-year strategic investment plan focused on AI, semiconductors and other critical technologies. Supported in part by regional subsidies, Japan is also seeing an AI data centre boom, driven by both domestic and foreign investors.⁴

Mainland China's semiconductor self-reliance push has made significant strides

Mainland China is less directly tied to the US hyperscaler capex cycle than Taiwan or Korea, but domestic AI demand is rising quickly. Since the US introduced sweeping chip restrictions in October 2022, China has accelerated supply chain localisation, creating opportunities for national champions, such as Huawei, foundry SMIC, memory producers YMTC (NAND) and CXMT (DRAM), equipment maker SMEE, and others (see [Mainland China in focus](#), 15 April 2026). Beijing is also planning around RMB2trn (USD295bn) of data centre investment over the next five years, aiming to source at least 80% of AI chips from local suppliers.⁵

ASEAN is an attractive destination for semiconductor and data centre investment

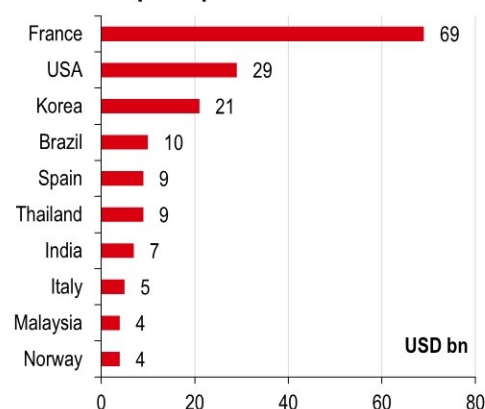
Southeast Asia has long been a hub for semiconductor assembly, testing and packaging. Two ASEAN economies also have meaningful front-end manufacturing: Singapore (memory) and Malaysia (automotive chips). Several ASEAN economies – such as Malaysia and Thailand – have also emerged as key destinations for data centre investment (see **Chart 4**). By pragmatically hedging amid rising geopolitical frictions, many ASEAN economies have leveraged neutrality and local advantages to attract investment from China, the US, and the EU across data centres, chips, autos, green energy and electronics (see [Asia in the "G2" world](#), 14 May 2026).

Australia is experiencing a data centre investment boom

Australia is also seeing strong growth in data centre investment. However, with around 85% of equipment imported, the near-term domestic growth uplift may be smaller than in economies that produce more AI hardware and components (see Paul Bloxham, [The data centre boom: lessons from the LNG boom](#), 29 June 2026).

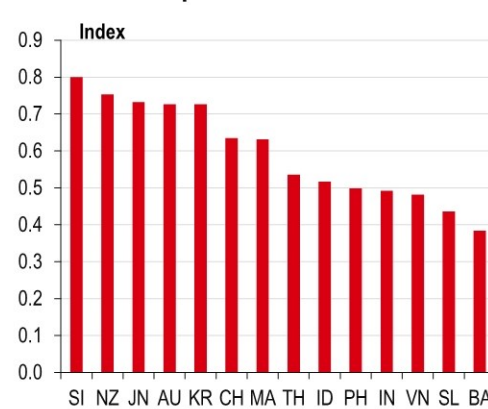
Beyond the two immediate growth catalysts – AI hardware exports and data centre investment – AI could also lift long-term growth through productivity gains. The scale of that uplift will depend on how transformative AI ultimately proves to be (still hotly debated)⁶ and how effectively individual economies adopt the technology, which may favour developed markets based on the IMF's AI Preparedness Index (see **Chart 5**).

Chart 4: Top recipients of data centre FDI



Source: UNCTAD, HSBC. Note: Data covers the first three quarters of 2025.

Chart 5: AI Preparedness Index



Source: IMF, HSBC

⁴ "Blackstone to invest \$30bn in Japan AI data centers," *Nikkei Asia*, 24 June 2026

⁵ "China Preps \$295 Billion Plan to Fund Nationwide AI Buildout," *Bloomberg*, 9 June 2026

⁶ e.g., the WTO's World Trade Report (2025) projected that AI could boost global GDP by ~13% by 2040, while MIT's Daron Acemoglu estimates a more modest 1% to 1.5% bump to GDP over the next decade.

Labour disruption

AI adoption has generally not led to mass layoffs so far

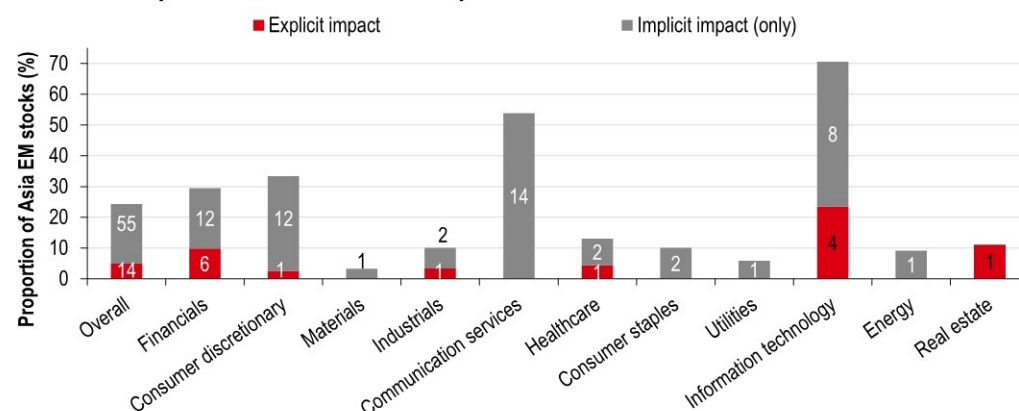
Beyond the initial infrastructure build-out, AI's second-round macro effects have been modest so far, with no mass layoffs or step-change in productivity. Adoption is still gradual, like past general-purpose technologies: productivity rises over time, some roles are displaced, others emerge, and widespread joblessness is avoided (though unemployment could edge up near term). Of course, if adoption accelerates, faster capability gains could widen labour displacement (see James Pomeroy and Bethan Ellis, [Gamechangers](#), 20 April 2026).

What are the potential labour impacts across Asian economies?

HSBC's Data Science team analyses potential labour impact through earnings call transcripts

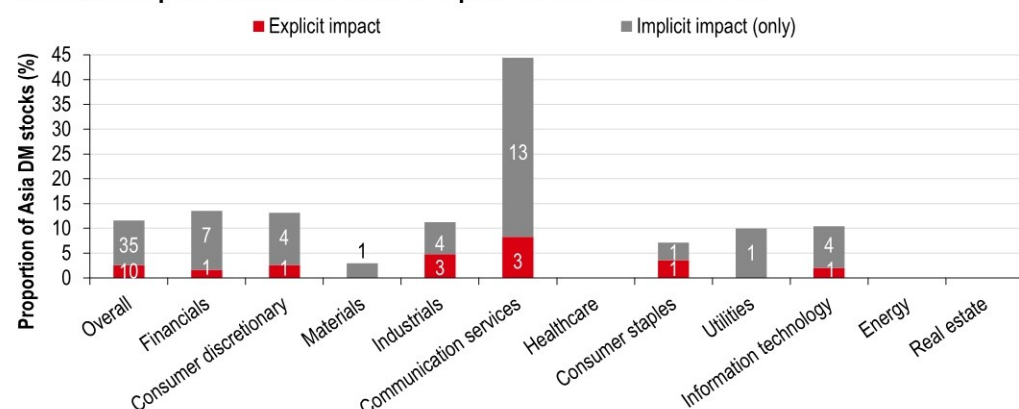
To start, we compare "explicit" and "implicit" signals in earnings call commentary across sectors in Asia's emerging versus developed markets (see **Chart 6** and **Chart 7**).⁷ Unsurprisingly, early signals are strongest in services – particularly information technology (IT), financials and consumer discretionary – and tend to be more pronounced in emerging markets.

Chart 6: AI's potential labour market impact in Asia EM economies



Source: LSEG, TKRD, FTSE Russell, HSBC. Note: Figure inside columns indicate the number of companies. Emerging markets (EM) economies include mainland China, India, Thailand, Malaysia, the Philippines and Indonesia.

Chart 7: AI's potential labour market impact in Asia DM economies



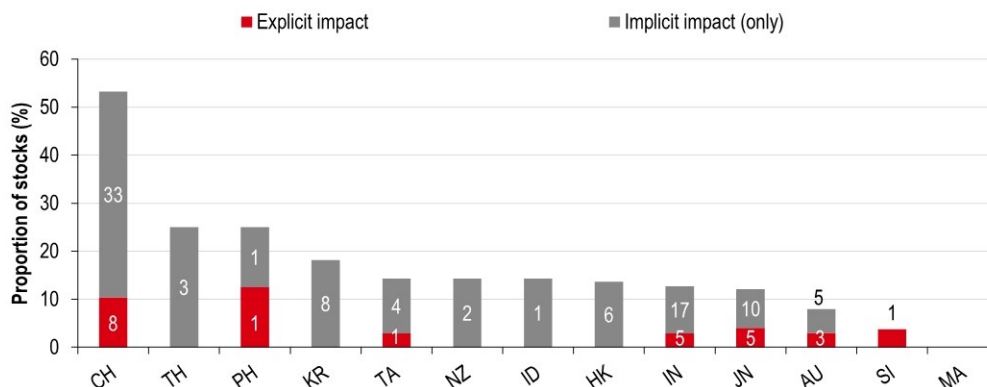
Source: LSEG, TKRD, FTSE Russell, HSBC. Note: Figure inside columns indicate the number of companies. Developed markets (DM) economies include Japan, South Korea, Taiwan, Hong Kong, Singapore, Australia, and New Zealand.

⁷ **Explicit:** Earnings call comments **directly link** layoffs (actual, ongoing, or expected) to AI adoption. **Implicit:** Earnings call comments suggest AI-driven cost savings that *may* reflect labour substitution/avoidance (often via slower hiring rather than layoffs), but there is **no direct link** made between AI adoption and layoffs.

Mainland Chinese companies report the highest potential labour impact...

While mass layoffs haven't occurred, other Asian economies can look to mainland China as a potential bellwether for AI's labour impact. As **Chart 8** shows, companies there report the largest number of both explicit impacts (directly linked to layoffs) and implicit impacts (no direct link, but signs of substitution or slower hiring) in Asia.

Chart 8: AI's potential labour market impact across individual Asian economies

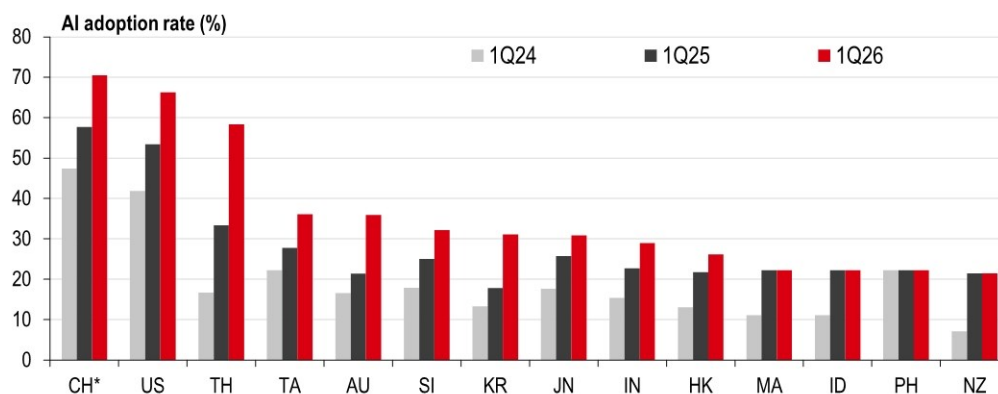


Source: LSEG, TKRD, FTSE Russell, HSBC. Note: Figure inside columns indicate the number of companies. CH stands for mainland China.

...reflecting the economy's faster pace of AI adoption

Mainland China's higher potential labour impact compared to the rest of Asia reflects its rapid AI adoption rate (defined as the share of companies whose transcripts mention practical AI adoption) and deeper integration of AI into business processes (see **Chart 9** and **Table 1**).⁸

Chart 9: Mainland China has Asia's highest AI adoption rate, even exceeding the US*



Source: LSEG, TKRD, FTSE Russell, HSBC. Note: CH stands for mainland China. *Our analysis may potentially overstate mainland China's figure due to coverage limitations and our reliance on English-language earnings call transcripts in the database.

Asia's BPO sector could be one of the earlier industries to experience labour disruptions

Economies with high-tech exposure, such as Korea and Taiwan, also rank highly on AI adoption and usage. Thailand's surveyed companies also score strongly. By contrast, there are fewer clear signs of AI adoption in Indonesia and the Philippines.

One sector to watch is business process outsourcing (BPO) in India and the Philippines. Labour disruption is inevitable since routine and repetitive tasks (e.g., data entry) are easier to automate (see *India's trajectory: In its own orbit*, 10 December 2025).

⁸ AI adoption rate: share of covered companies whose earnings call transcripts mention practical AI adoption. AI usage is scored on in-house scale: 0 (no mention), 1 (mention only), 2 (exploring), 3 (active implementation), 4 (scaled adoption), and 5 (proven, quantifiable impact).

Table 1: Average AI usage scores across individual Asian economies and sectors

	# companies with earnings calls	Market Score	Comms Svcs	Cons. Disc	Cons. Staples	Energy	Financials	Health Care	Industrials	Technology	Materials	Real Estate	Utilities
Mainland China	77	2.9	4.1	3.2	2.2	0.0	3.3	1.3	3.1	2.5	4.0	1.5	0.0
Thailand	12	2.3	3.0	0.0	0.0	2.0	3.5	3.3	2.0		2.5		
South Korea	44	1.8	2.6	1.3	1.0	1.3	2.5		1.2	0.7			
New Zealand	14	1.7	3.3	2.5	0.0			1.0	1.8	4.3		0.0	1.6
India	173	1.5	2.9	1.2	1.2	0.8	2.2	1.1	1.4	4.3	1.1	0.7	0.9
Hong Kong	44	1.5	4.3	1.5	1.4		1.6	2.0	2.4	2.2	0.0	0.6	1.5
Australia	101	1.5	3.4	1.0	1.4	0.9	2.8	2.1	1.9	1.6	0.5	0.0	2.2
Japan	124	1.5	2.7	1.7	1.4	1.1	1.8	1.6	1.3	1.6	0.6	0.3	
Taiwan	35	1.3	3.1	5.0			0.8		0.0	1.2			
Malaysia	7	1.2	1.3				0.0	2.8	0.0		0.0		3.0
Indonesia	7	1.1	0.0	3.5			1.0				0.0		
Singapore	27	1.0	2.8		0.0		2.2		0.8	2.2		0.3	0.0
Philippines	8	0.9	3.4	0.0	0.0		3.5		0.0			0.0	0.0

Source: LSEG, TKRD, FTSE Russell, FactSet, HSBC

AI will displace some workers, but it is also a labour-augmenting force

AI adoption does not necessarily translate into net job losses in BPO or other white-collar sectors. As HSBC's Bethan Ellis recently noted, some studies overstate displacement risk and understate AI's potential as an augmenting force that helps people do their jobs more efficiently (see [AI and the labour market](#), 13 July 2026).

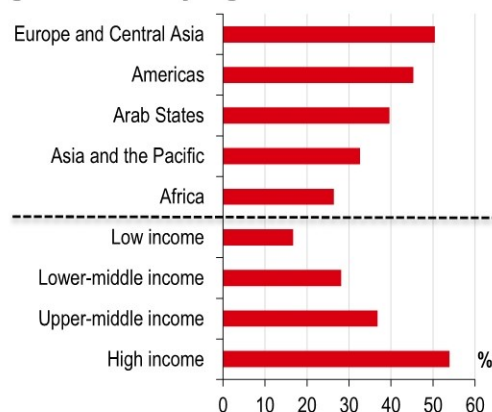
Like any innovation, AI will displace some workers. Mainland China may be an early test case, particularly if AI reduces demand for entry-level roles amid youth employment pressures. More broadly, higher income Asian economies are likely to have greater occupational exposure, given the concentration of jobs in services and technology (see **Chart 10** and **Chart 11**).

Some workers will need to reskill or move to new industries

That said, "creative destruction" is a familiar economic concept: mechanised agriculture reduced farm labour but expanded opportunities in manufacturing, logistics and services; industrialisation disrupted some trades but created factory jobs; the Internet shrank parts of news and physical retail while enabling e-commerce, app development and social media (see [Gamechangers](#), 20 April 2026). In the same spirit of augmentation, BPO workforces in India and the Philippines could be reskilled from routine processing into higher value-added activities while automation absorbs repetitive tasks.

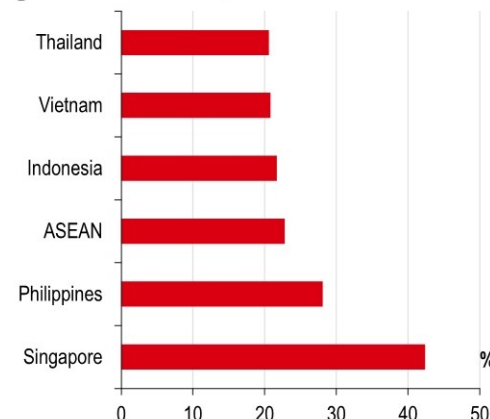
For ageing, high-income economies, such as Japan, labour-substituting investment is a benefit over the long run. Rather than mass layoffs, the more likely outcome is workforce reallocation into growing areas, such as AI law, ethics and compliance, and human-in-the-loop (HILT) verification. With sustained investment in reskilling and effective use of augmentation, the displacement challenge may prove less severe than headlines often warn.

Chart 10: Occupational exposure to generative AI by region and income level



Source: International Labour Organization (ILO), HSBC

Chart 11: Occupational exposure to generative AI in ASEAN



Source: International Labour Organization (ILO), HSBC

Inflation crosscurrents

Energy, weather and AI boom – three near-term forces to watch

Headline inflation across Asia still looks fairly contained, but it is edging up, even as core remains benign (see **Chart 12**). That points to pressure still concentrated in fuel, food and regulated prices – rather than a broad-based re-acceleration in underlying demand. Oil did roll over towards pre-war levels after the mid-June US-Iran ceasefire, and HSBC recently revised down its oil forecasts, pointing to a softer crude backdrop (see **Chart 13**; Kim Fustier et al, *Oil markets: Cutting forecasts: Mini-glut now, surplus later*, 8 July 2026).

However, this is not a clean fade-out. At the time of writing, an actual peace deal remains elusive, so the geopolitical risk premium hasn't disappeared – it has just become harder to price. And even if crude stays lower, refining margins are expected to remain elevated, meaning pump prices – especially diesel – are likely to adjust only gradually. In practice, crude can fall quickly, but transport and distribution costs usually come down much slower.

The calmer headline print can also obscure emerging pressures elsewhere. A “Godzilla-strength” El Niño cycle is a near-term risk for food and regulated utility prices in parts of Southeast Asia and India. ENSO (El Niño-Southern Oscillation) shocks don't typically rewrite the long-run inflation story, but they can still deliver sharp, localised spikes that matter for households – and for central banks that would rather not tighten policy into a weather forecast.

The bigger shift, though, is structural. As energy disinflation builds, Asia's inflation impulse is adding a silicon layer. The next persistent pressure point may come less from oil and more from the **AI hardware supply chain**.

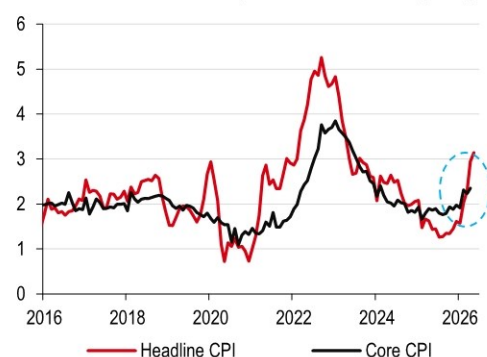
AI doesn't transmit like oil. It travels from chips and components, through assembly and exports, and eventually into services inflation via higher compute costs. That also means this won't hit everyone the same way – Asia's experience will fragment into three broad cohorts, depending on where economies sit in the tech stack: **upstream producers, midstream assemblers, and downstream adopters**.

Upstream: Factory-gate squeeze

Manufacturing PMIs in June suggest supply disruptions are easing, but the healing is uneven. Delivery times have improved, yet shortages, shipping delays and vendor constraints persist. This AI cycle is landing on a supply chain that isn't fully repaired. Taiwan is stockpiling to guard against price hikes and shortages amid surging AI-driven semiconductor demand, while Korea's PMI still flags material shortages and delivery delays lifting costs.

AI surge meets unfinished supply repair

Chart 12: Asia ex Japan inflation, % y-o-y

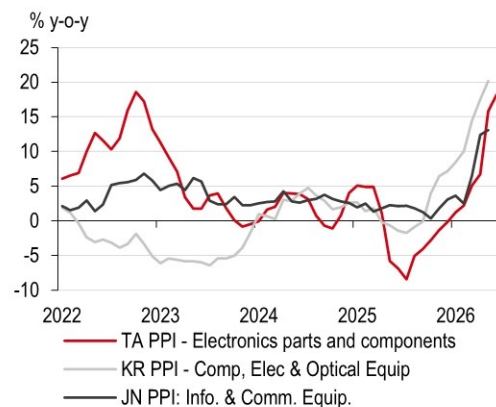
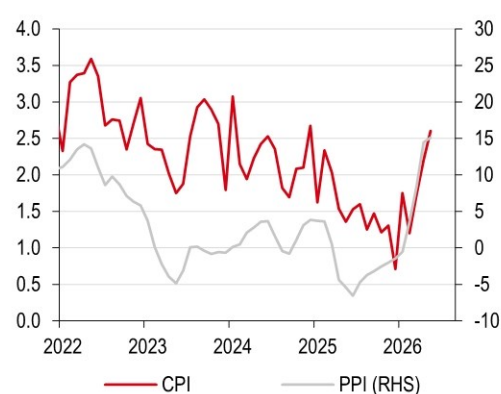


Source: CEIC, HSBC

Chart 13: Brent amidst uncertainty



Source: Macrobond, HSBC

Chart 14: Soaring producer prices

Chart 15: Taiwan inflation, % y-o-y


Inflation pass-through is faster and more evident in Korea and Taiwan...

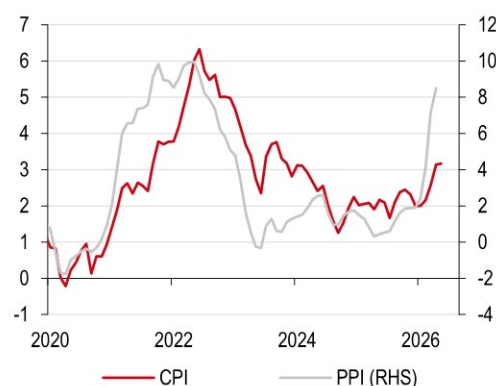
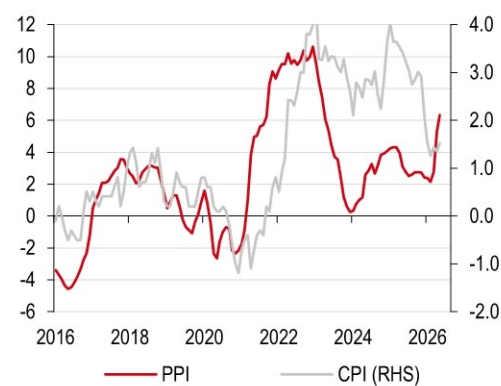
Beyond energy, bottlenecks in high-tech components and logistics are lifting producer prices in key upstream markets, such as Taiwan, Korea and Japan (see **Chart 14**). This is an additional inflation impulse, and it starts upstream. In Taiwan and Korea (and, to a lesser extent, in Japan), surging demand for AI servers and data centre equipment is prompting chipmakers to shift limited capacity towards the most profitable AI-related products.

A clear example is high-bandwidth memory (HBM). As more production is diverted to HBM, supply for more standard memory products can tighten, lifting prices for broader categories, such as DRAM and NAND. The result is straightforward. Costs rise first for manufacturers, pushing producer prices higher before the impact shows up in consumer inflation.

The pass-through to CPI is slower and it comes in two ways. One is domestic. Higher electronics prices feed into consumer goods with a lag, services pricing firms up as enterprise IT and compute costs rise, and wage spillovers emerge in high-tech clusters. This is the case for Taiwan and Korea (see **Chart 15** and **Chart 16**).

...compared to in Japan

There is an important divergence between how this plays out in Japan versus Taiwan and Korea. Even with rising AI adoption across healthcare, manufacturing and finance, AI hardware is a smaller slice of Japan's much larger and more diversified economy than it is in Taiwan or Korea. Japanese corporates also tend to absorb cost increases rather than pass them through quickly. That helps explain why CPI there can lag the PPI impulse for longer (see **Chart 17**).

Chart 16: Korea inflation, % y-o-y

Chart 17: Japan inflation, % y-o-y


The other channel is external. Persistent upstream cost pressure driven by components, equipment capex and competition for engineering talent, pushes up export prices (see **Chart 18**), raising input costs for midstream assemblers further down the AI supply chain.

Midstream: Deflationary buffer

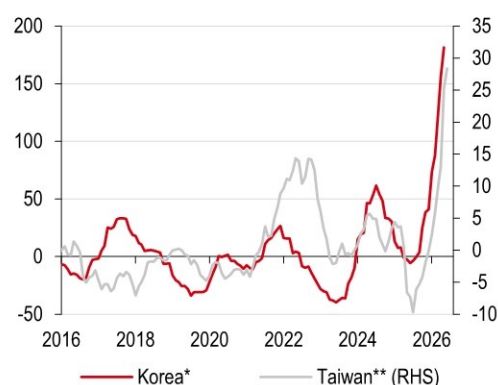
Midstream cushion on upstream inflation

As the AI price pulse moves downstream, it runs into mainland China's role as the region's shock absorber – and **Chart 19** captures that clearly. Mainland China is importing upstream chip inflation and exporting deflation. Input costs can rise as higher priced components flow in from upstream producers, but mainland China's domestic pricing backdrop remains non-inflationary, keeping a lid on export prices. The costs go up, the prices don't.

The mechanism is straightforward. Mainland China sits at the centre of the assembly pipeline, where scale is significant, factory-floor competition is relentless, and capacity continues to expand. In that environment, higher input costs are more likely to be absorbed through margin compression and efficiency gains than passed on via higher selling prices.

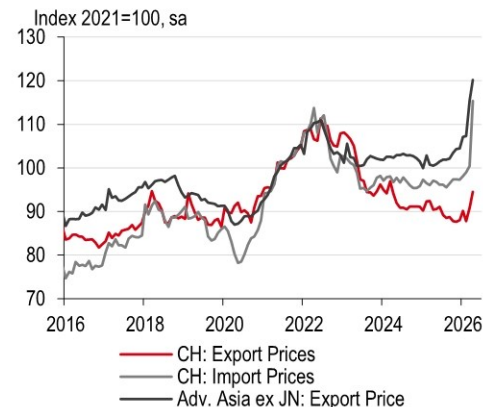
The result is a deflationary shield. It dampens the pass-through from upstream chip inflation into global prices and slows the feed-through into downstream CPI. Upstream inflation meets a midstream buffer.

Chart 18: Export price index, % y-o-y



Source: CEIC, HSBC. Note: *Semiconductors. **Electrical Machinery; Image & Sound Recorders.

Chart 19: The deflationary shield



Source: CPB, HSBC. Note: These are headline indices that mirror electronic trends. CH refers to mainland China.

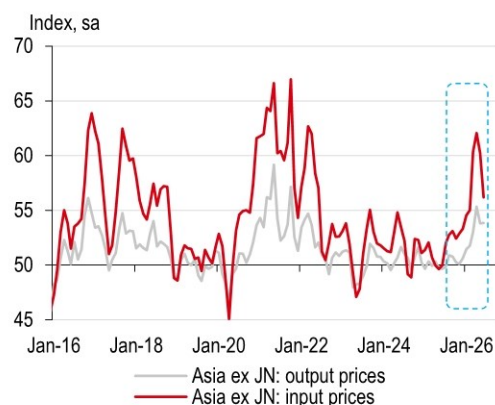
Downstream: Lagged pass-through

End-stage pass-through, long lag

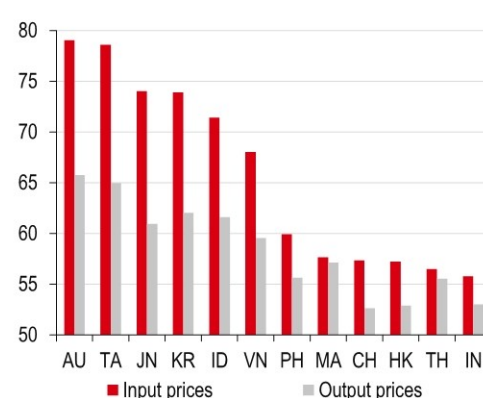
At the far end of the pipeline sit the downstream infrastructure consumers – large, demand-led economies like India and Indonesia, plus the more pure-adopter ASEAN markets. For them, AI doesn't arrive as a local factory shock. It behaves more like an imported overhead cost, and it arrives with a lag.

That lag is exactly what **Chart 20** is picking up. Across Asia ex Japan, input prices are running ahead of output prices. Firms are paying more, but they are not fully passing it on yet.

In downstream adopter economies, that gap tends to persist because demand conditions and competitive dynamics limit immediate repricing. The pressure builds in the background and only becomes visible when corporate budgets reset. As procurement cycles roll over and legacy enterprise contracts expire, firms renew into more expensive hardware chassis and USD-denominated cloud and infrastructure tariffs. That is when higher costs start to leak into broader overheads – and, eventually, into consumer-facing services prices.

**Chart 20: Costs rising, pricing delayed
(from manufacturing PMIs)**


Source: S&P Global, CEIC, HSBC

**Chart 21: Asia's pass-through dashboard
(from manufacturing PMIs)**


Source: S&P Global, CEIC, HSBC. Note: CH refers to mainland China.

**Pass-through varies across
the AI pipeline**

Asymmetric AI inflation

The addition of AI to the mix of factors that drive inflation alters the inflation map. In an oil shock, inflation is broad and fast. In an AI cycle, inflation is narrow, upstream, and phased. Producers feel it first; adopters feel it later.

Chart 21 makes the asymmetry visible. By sorting economies by the intensity of input price pressure and showing the corresponding output prices, it effectively ranks who is absorbing costs and who is passing them on. Where input prices are high and output prices keep up, inflation is travelling. Where input prices are high but output prices lag, inflation is being stored in margins and deferred into later repricing. That dispersion is the point.

The AI shock is not uniform across Asia, because exposure depends on where you sit in the tech stack. The upstream producers carry the sharpest, earliest pressure, while downstream adopters experience a slower, more diluted adjustment as the cost base resets over time.

**There is some debate over
whether AI is an inflationary
or deflationary force**

Central bank implications

Central bankers are increasingly factoring AI adoption into their outlooks. Some observers, including former Fed official Kevin Warsh, argue that widespread AI use will be disinflationary by lifting productivity — allowing economies to grow faster without sparking sustained price pressures.⁹ Other Fed board members emphasise a different channel: AI-related capex could itself be inflationary, shaping debates over whether policy may need to stay tighter for longer.¹⁰ These questions are now moving to the forefront in Asia as well.

How will Asian central banks respond?

In this report, we have covered AI's potential impact across **growth**, **labour**, and **inflation** over the next one to two years.

**For some Asian economies,
AI may contribute to growth
upside and higher inflation
over the next two years...**

The AI boom is lifting demand for semiconductors and related hardware, supporting economies, such as Taiwan, Korea, Japan, mainland China, Singapore, Malaysia and Thailand. It is also driving data centre investment — most visibly in Malaysia. Labour disruption is a risk, with mainland China potentially an early test case, but the upside from labour augmentation may be underappreciated and, so far, there is little evidence of imminent mass layoffs. Importantly, AI's

⁹ "The Federal Reserve's Broken Leadership," Kevin Warsh, *The Wall Street Journal*, 16 November 2025

¹⁰ "Fed policymakers' inflation concerns grew at June meeting, minutes show," *Reuters*, 9 July 2026

inflation impact looks asymmetric: the most immediate pressure is likely to appear upstream (for example, in Korea and Taiwan), while downstream adopters, such as India and Indonesia, may see a slower and more delayed adjustment.

...which may put more pressure on Korea, Taiwan and others to keep tightening monetary policy

Against that backdrop, we think **the AI supercycle bolsters the case for tighter monetary policy** the most in economies that have meaningful growth upside from AI and sit upstream in the supply chain, where inflationary pressure should show up first.

That puts the central banks of **Korea** and **Taiwan** in focus. HSBC's Jin Choi expects one additional hike from each by the end of this year (a 25bp hike by the Bank of Korea (BoK) to 3.00% and a 12.5bp hike by Taiwan's central bank (CBC) to 2.125%). He also cites upside risk of further tightening in 2027, depending on the extent of pass-through from surging AI exports into domestic activity and on local fiscal settings that could further boost already strong capex (see [Bank of Korea](#), 16 July 2026; [Taiwan central bank watch](#), 12 June 2026).

Elsewhere – such as Japan, Malaysia and Vietnam – the AI impulse appears less powerful, but there are still pockets of growth upside and some AI-linked inflation pressures, albeit to a lesser degree than in Korea and Taiwan. In **Japan**, we expect one additional 25bp hike in December, taking the policy rate to 1.25% as the Bank of Japan (BoJ) continues policy normalisation (see [Bank of Japan](#), 16 June 2026). As noted earlier, AI hardware is a smaller share of Japan's larger, more diversified economy than it is in Taiwan or Korea, and Japanese firms have historically absorbed cost increases rather than passing them through quickly – though that behaviour can shift over time.

Current investment-led phase of AI tilts bias towards monetary tightening

Across Asia, the current phase of AI build-out tilts the balance towards keeping policy restrictive. **Growth upside** in key sectors, **limited evidence** so far of an **acute labour shock**, and **rising inflation risks** that begin upstream and diffuse across adopters all point in that direction. Yes, over time, stronger productivity growth could become a disinflationary force. However, in the near term, the investment phase is highly capital-intensive, with demand pressing on relatively fixed supply as AI continues to “eat” everything from chips to electricity.

Looking ahead, the next key macro watchpoint may be the transition from **phase one** (investment-led) to **phase two**, when measurable productivity gains begin to dominate the narrative and reshape the monetary policy debate.

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